

Business KPIs & Metrics Guide

A Master Reference of Calculations, Formulations, and Decision Definitions

1. Gross Revenue

Definition: The total value of sales transactions before any deductions.

Formula: $\text{Gross Revenue} = \text{Sum}(\text{Revenue})$ of all transactions.

Impact: Measures scale and top-line growth. It indicates sales volume traction.

2. Cost of Goods Sold (COGS)

Definition: The total cost incurred in acquiring or manufacturing items sold.

Formula: $\text{COGS} = \text{Sum}(\text{Cost})$ of all transactions.

Impact: Critical for measuring supply-chain efficiency and vendor cost control.

3. Net Contribution (Net Revenue)

Definition: The absolute margin generated by sales after subtracting the raw costs.

Formula: $\text{Net Contribution} = \text{Gross Revenue} - \text{COGS}$

Impact: Represents money available to cover fixed administrative costs, marketing, and taxes.

4. Net Profit Margin (%)

Definition: Profitability ratio that measures the percentage of revenue remaining after costs.

Formula: $\text{Net Margin} = (\text{Net Contribution} / \text{Gross Revenue}) * 100$

Impact: Key metric for performance benchmarks. Margins under 15% indicate cost pressure; margins over 25% signify healthy operation.

5. Revenue Growth Rate (%)

Definition: The period-over-period percentage change in revenue.

Formula: $\text{Growth Rate} = ((\text{Current Period Revenue} - \text{Previous Period Revenue}) / \text{Previous Period Revenue}) * 100$

Impact: High growth indicates market expansion, while negative growth flags seasonal contraction or competitive churn.